

1 – C:

A **negative consumption externality** is a negative effect of a consumption activity that affects third parties. In this case, the externality is the litter and mess caused by discarded chewing gum on pavements, which is a public space. This externality is not reflected in the market price of chewing gum, but it has a negative impact on society. This explains why key C will be correct.

A) Better dental hygiene from chewing gum could be said a **private benefit**.

B) Costs of the ingredients in chewing gum are a **private cost**, borne by the manufacturer.

D) Smells from chewing gum factories could be a **negative production externality**.

2- B:

Allocative Efficiency: No

Allocative efficiency refers to the optimal allocation of resources in an economy, where resources are used to produce goods and services that maximize total welfare of the society. In an allocatively efficient market, the price of a good or service equals its marginal cost.

In this case, the price remains above the marginal cost, indicating that the firm is not producing at the optimal level. This means that resources are not being allocated efficiently, and the firm is not maximizing total welfare of the society.

Dynamic Efficiency: Yes

Dynamic efficiency refers to the ability of a firm or industry to innovate, improve productivity, and reduce costs over time. It involves the adoption of new technologies, processes, and methods that improve efficiency.

In this case, **the firm has adopted new methods of production**, which suggests that it has invested in research and development, innovation, or technological advancements. This has led to a reduction in average cost, indicating improved productivity and efficiency. Therefore, the firm has improved its dynamic efficiency.

This explains why key B is correct.

3-D:

A – Construction workers who built the site will be given the payment for their work at that moment, and this means that there would not be excess of “marginal social benefit” over “marginal social cost”

B – Again, factory workers who returned to their jobs after the games will not benefit from excess of marginal social benefit over marginal social cost, this is because, there is no mention of an increase in wages.

C – Residents who were rehoused far away from Beijing will be put to a disadvantage as the relocation of these residents far away from their communities resulted in a significant cost to them, as they were displaced from their homes and social networks. Therefore, the marginal social cost of these groups will be greater than the marginal social benefits.

D – Those who lived in the former athletes’ accommodation will face an increase in the value of their homes , and therefore, they are likely to have an excess of marginal social benefit over marginal social cost.

4-D:

A budget line shows all possible combinations of two goods available to consumers that can be purchased with their money income.

The cost of each of the combinations (R,S,T) is equal to the given money income of the consumer, since operating on the “budget line” means that all income is spent.

This is why, the amount of income that could be spent by the households is the same at all points R,S and T, that are on the budget line, which is why option D becomes correct. That being said, all other options are incorrect.

5 – A:

A – In an “eat all you can banquet”, if a person consumes the same food consecutively from all the courses , then that particular food provides less and less satisfaction than before, as the quantity consumed increases.

B – This is the limitation of the utility theory, that in some cases, the amount of satisfaction gained from additional units of consumption of a product might increase as the number consumed increases. This may be in case of coin collectors. A collector wishing to have the largest coin collection will obtain the greatest satisfaction from the “last coin purchased”

C -The second of the two rolls of wallpaper needed to decorate a room. This option is incorrect because the consumption of two rolls of wallpaper does not necessarily reflect the concept of diminishing marginal utility.

Each roll of wallpaper is likely to provide similar utility in terms of covering the required area and achieving the desired outcome. The diminishing marginal utility concept focuses on the diminishing satisfaction gained from consuming additional units of a particular good or service.

D: The tenth driving lesson needed to enable a learner to pass the driving test. This option is incorrect because the law of diminishing marginal utility does not directly apply to the driving lessons needed to pass a driving test. Each driving lesson may contribute to the learner's progress and improvement in driving skills, and there is no inherent diminishing satisfaction associated with taking additional lessons.

6 – D:

A – As being large firms, oligopolists are able to achieve the objective of profit maximization since their **traditional objective is to operate at the profit maximizing level of output that is producing where $MC=MR$.**

B – The best objective for firms operating under conditions of oligopoly is not satisficing; instead, firms in an oligopoly mainly operate at the profit maximizing level of output that is where $MC=MR$.

C – There are no benefits available for firms in a non-collusive oligopoly if they reduce price. This is because all other firms will follow it and since this represents the industry's action, this means that an individual firm will observe an extension in quantity demanded by a relatively smaller percentage, because of which, total revenues will fall.

D - There is a tendency towards “price stability” under conditions of oligopoly, or in other words “price-rigidity”, which is demonstrated through the “kinked demand curve”. If for example, the firm raises its price, no other firm in the industry will follow, and therefore, this represents “elastic demand”(because, it is the behavior of a firm), and as a result, there is a contraction in quantity demanded by a relatively higher percentage, which results in a “fall in Total Revenue”. Importantly, when a firm decreases its price, all other firms in the industry will follow, and therefore, this represents “inelastic demand”(because, it is the behavior of an industry), and as a result, there will be an extension in qty demanded by a relatively smaller percentage, which results in a “fall in Total Revenue” Therefore, prices remain rigid or unchanged at the “kink”

7 – C:

A, B, D:

To achieve cost economies of scale(option A), to agree common prices with rivals(option B), and to increase productivity of labor(option D) have no link to **diversification**.

C: By adopting a policy of diversification, that is when a firm produces a wider range of products, it would be more likely to spread its risk of investment, and prevent business failure if the demand of one product falls. This is why, key C, becomes correct.

8-B:

A -Because of contestability of the market, whereby there is a freedom of entry and exit, firms are only able to make “normal profits” in the long-run , as a result of which, small firms may not be helped, and may instead find it difficult to survive. Also, “expensive, new technology is not associated with small firms”, which is why, this option becomes incorrect.

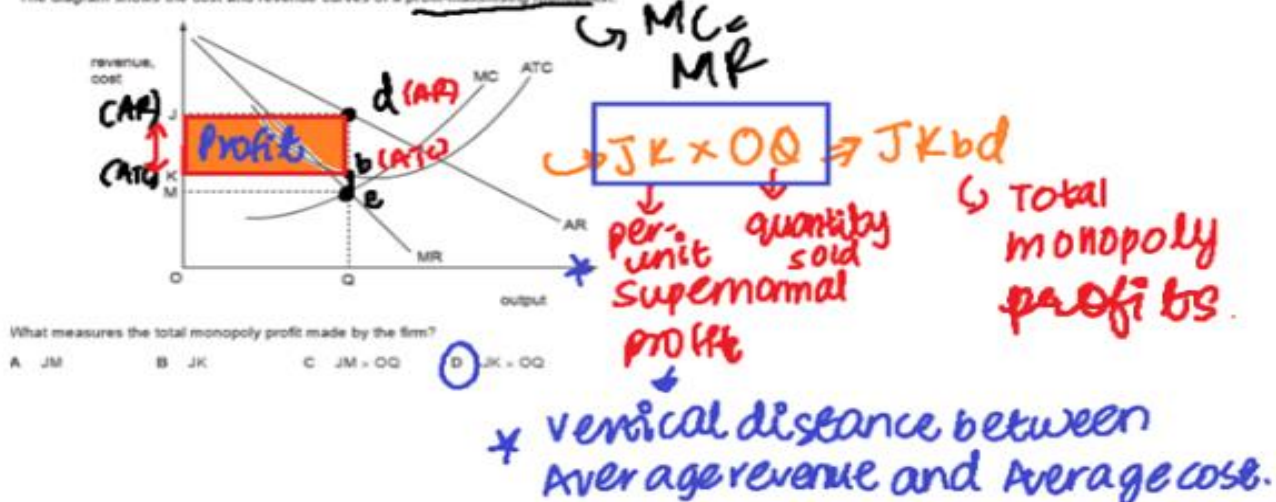
B- If customers value personal services and personal services form a greater proportion of the GDP, then small firms who rely mainly on personalized, customized services may find it easier to survive. Also, if there are new government regulations, the costs of the “small firms” may increase, which may threaten their survival. This is why, this option becomes correct.

C- Low barriers to entry may increase the level of competition, and because of tough competitive pressures, small firms may not be able to survive. Additionally, managerial diseconomies of scale is not associated with small firms, and is instead a threat to “large firms”

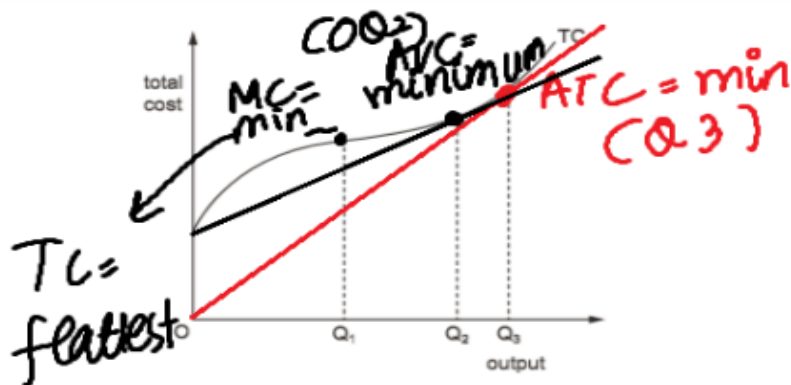
D – If small firms sell homogeneous products, they will find it difficult to compete with large firms, who can mass-produce at a lower cost using flow production techniques. Although, new firms entering the industry may be a threat as because of tough competitive pressures, small firms may not be able to survive, this option as a whole becomes incorrect.

9-D:

The diagram shows the cost and revenue curves of a profit-maximising monopolist.



10 – D:



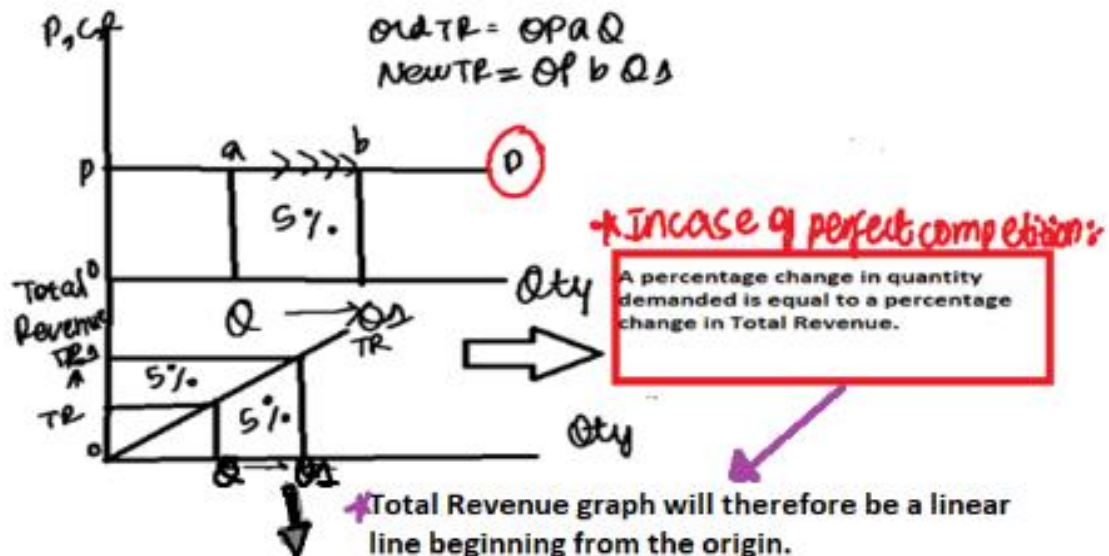
A – It can be seen above that ATC is minimum at output “Q3” whereby the line passing from the origin is tangent to the total cost curve.

B – Average variable cost is minimum at output Q2, because the line below the Total cost curve is tangent to the Total cost curve at that point.

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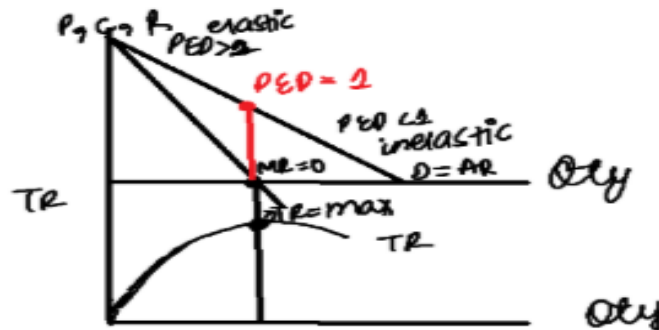
D – This is correct that the marginal cost is at its minimum at “Q1”, because that is when, the total cost curve is the flattest, which represents that the change in total cost, or in other words, the marginal cost is the lowest.

11- C:



C – The diagram explains why key C will be correct.

B: Option B represents the case of “imperfect competition”, whereby there is a downward-sloping demand curve. This can be seen in the diagram below.



D : This is incorrect as this graph is similar to a cost line.

12 – D:

A – This is incorrect because in order to achieve “maximum efficiency”, Average total cost must be at its minimum, instead of marginal cost being at its minimum.

B – This is incorrect because in order to achieve “profit-maximization”, marginal cost(MC)=marginal revenue(MR).

C – Quantity of sales maximization is achieved, when the firm sets the minimum price it can, to sustain its operations. In other words, this is when normal profits are made, which means that, Average revenue can just cover the Average costs of production. This is why, this becomes incorrect.

D – This is correct because in order to maximize total revenue, the marginal revenue must be zero.

13 – A:

The correct answer is A) 1 and 3.

Policies 1 and 3 represent forms of government macroeconomic policy:

1 . Lower income tax: This is a reflationary fiscal policy aimed at increasing aggregate demand by putting more disposable income in people's pockets which boosts consumption.

3 Higher spending on infrastructure: This is also an expansionary fiscal policy aimed at increasing aggregate demand, creating jobs, and improving the nation's infrastructure.

Policy 2, higher indirect taxation on alcohol, is a microeconomic policy aimed at reducing consumption of a demerit good (alcohol) rather than a macroeconomic policy aimed at managing the overall economy.

Therefore, options B, C, and D are incorrect.

14 – C:

A – It is in the case of demerit goods , where there are negative externalities in consumption, and over-allocation is being done, which means that output must be above the allocatively efficient level of output.

B – When output is at the allocatively efficient level of output, that is when $MSB=MSC$, there are no externalities.

C – It is in the case of merit goods, that there are positive externalities in consumption, and under-allocation is being done, which means that the output must be below the socially optimum level of output. This is why, key C, is correct.

D – In case of merit goods, the output must be below the socially optimum level of output.

15-A:

The correct answer is A) The Gini coefficient falls and the income tax system becomes more progressive.

- The **poorest income earners** already pay no income tax, so the increase in tax rate on the highest income earners means that the tax burden is being shifted to those who can afford it most. This makes the income tax system more **progressive**, as the wealthy are contributing a greater share of their income towards taxes
- The Gini coefficient measures income inequality, with 0 representing perfect equality and 1 representing perfect inequality. A decrease in the Gini coefficient indicates a more even distribution of income.

This explains why key A will be correct.

16-A:

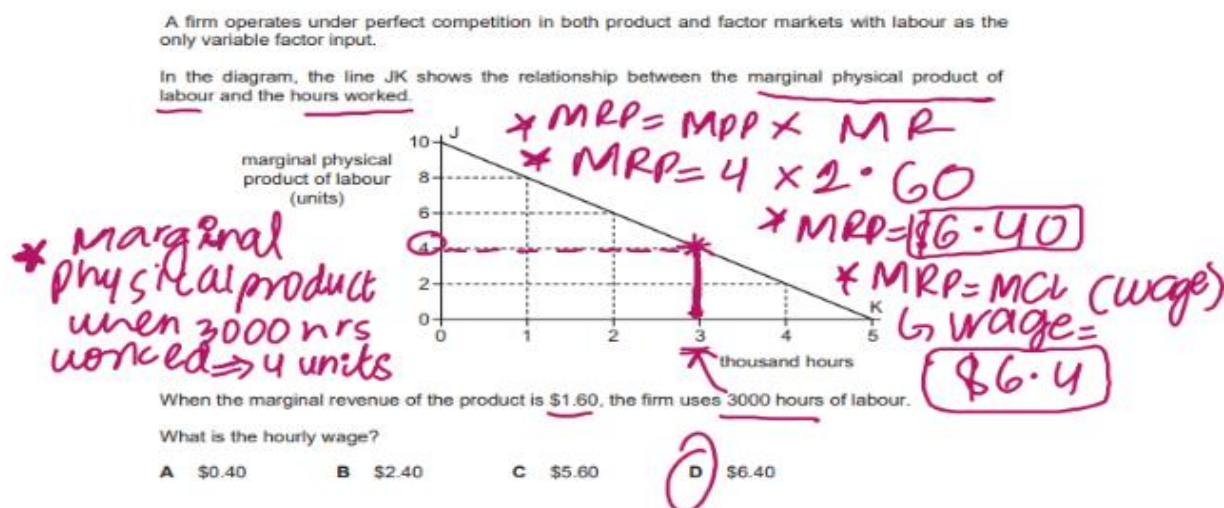
A – This is correct because economic rent represents any amount above the minimum earnings (transfer earnings) required to keep a labor in its current use.

B – The marginal physical product of labor multiplied by marginal revenue gives marginal revenue productivity.

C – The minimum amount required to keep a labor in its current job represents “transfer earnings”

D – The regular payment to a property owner in exchange for the use of property represents the payment of “rent”

17-D:



18- D:

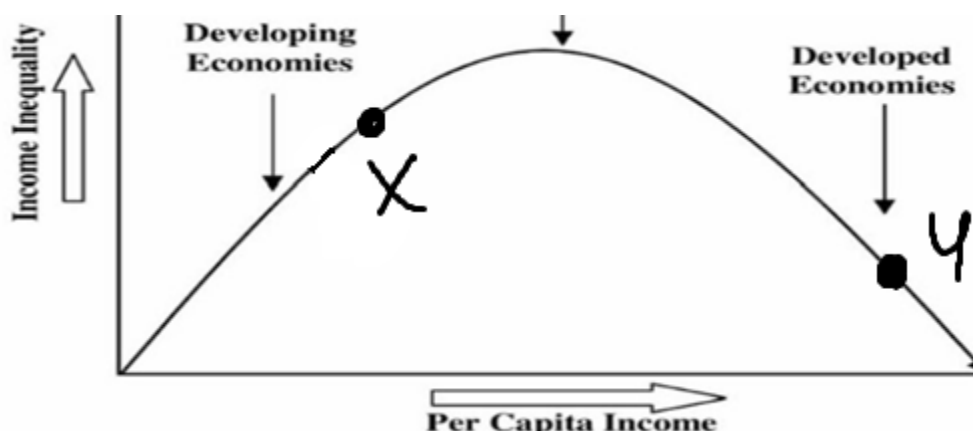
A – If there is a rise in the expectations of the investors, a fall in the costs of borrowing as a result of a cut in the rate of the interest, will stimulate an increase in investment expenditure, thereby boosting Aggregate demand.

B – If more borrowing occurs because of a fall in the rate of interest, for consumption and investment purposes, this will boost Aggregate demand.

C – If because of a fall in return on savings, there is a decrease in savings, individuals are more likely to increase their consumption expenditure. This will subsequently boost Aggregate demand, representing the success of expansionary monetary policy.

D – If marginal propensity to consume is falling, this indicates that marginal propensity to save is rising, which will result in a fall in Aggregate demand. This is why, this becomes correct.

19-C:



A – Kuznets curve does not show which country collects the most income tax.

B – It can be seen in the diagram above that country Y has a higher national income since it has a developed economy.

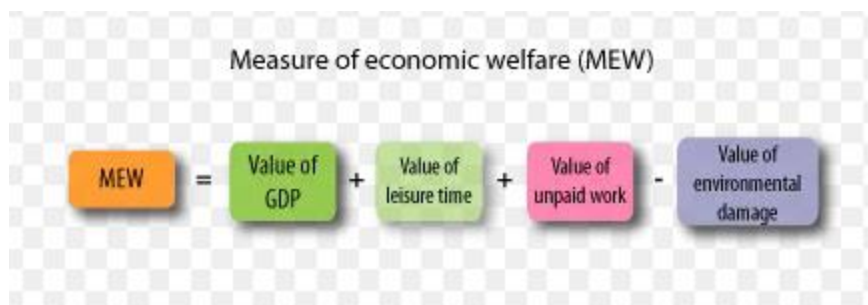
C – It can be seen in the graph above that country Y has a lesser income inequality than country X. This is why, key C, becomes correct.

D – This is incorrect because Country Y is more developed than country X. This can be seen in the graph above.

20-C:

MEW attempts to address some of the limitations of GDP. While GDP only measures the value of goods and services produced, MEW also takes into account:

- The value of household and volunteer work
- The cost of environmental damage and resource depletion
- The value of leisure time



MEW is considered a more comprehensive measure of economic welfare because it accounts for the negative externalities and non-market activities that are not captured by GDP. **This explains why key C will be correct.**

A) The cost of paid work is already included in GDP.

B) The cost of producing armaments is also included in GDP.

D) The shadow economy refers to illegal or unreported economic activities, and its negative impact is not related to the calculation of MEW.

21- D:

A – Depreciation needs to be subtracted from gross income to arrive at **net national income** so that capital consumption is accounted for.

B – If GDP includes supernormal profits, the value of output shown by GDP will not be overstated.

C – GNP is a better measure of living standards than GDP because it accounts for net property incomes from abroad.

D - GNP (Gross National Product) per capita has several limitations as a measure of a country's economic well-being and living standards. Some of the important factors that GNP per capita ignores include:

1. Income inequality: GNP per capita does not account for the distribution of income within a country, which can be highly unequal.
2. Environmental degradation: GNP per capita does not consider the depletion of natural resources or environmental degradation.
3. Unpaid work: GNP per capita only accounts for paid work and ignores unpaid work such as household chores, caregiving, and volunteering.

22- A:

➔ **The most economically developed country is country A because it has the greatest proportion of employment in the tertiary sector _ tertiary sector is the largest employer. Also, in country A, there is the smallest proportion of employment in the primary sector.**

This explains why key A is correct.

➔ **On the contrary, the least economically developed country is country B because tertiary sector constitutes for a smallest proportion of total employment, and primary sector constitutes for the greatest proportion of total employment.**

23 – A:

Since the government is committed to increasing real gdp using fiscal and monetary measures, this represents that we are interested in expansionary fiscal and monetary policy measures.

A) This combination is likely to be the most effective in increasing real GDP. The government's increased spending or reduced taxation (which will increase budget deficit) stimulates Aggregate demand, while the central bank's purchase of government bonds (quantitative easing) increases money supply, reducing interest rates and encouraging borrowing and spending.

B) This combination is unlikely to increase real GDP. While increased government spending on roads stimulates demand, the increased short-term interest rate makes borrowing more expensive, reducing consumption and investment, and offsetting the stimulus effect.

C) This combination is unlikely to increase real GDP. While reducing income taxes increases disposable income and stimulates Aggregate demand, the central bank's sale of government bonds (through open market operations) reduces the money supply, which increases interest rates thereby reducing borrowing for consumption purposes.

D) This combination is unlikely to increase real GDP. Reducing wealth taxes may stimulate investment, but increasing commercial banks' cash deposit ratio (reserve requirement) reduces their lending ability, decreases the supply of loanable funds which increases interest rates and reduces borrowing and spending.

24 – D:

A – When changes in national income determine the changes in the level of induced investment, this represents the accelerator effect. The co-efficient of accelerator is measured through:- **Change in Investment/ Change in Income**

B – When the level of consumption depends on the level of national income, this represents marginal propensity to consume, which represents the proportion of the additional income which is spent. **Mpc: Change in consumption/ Change in Income**

C – The level of consumption and investment determine the level of Aggregate demand in a two sector closed economy.

D – When autonomous injections, namely investment increases in a two sector closed economy, there is a multiplier time changes in real national income because of the multiplier process. **The formula of multiplier is: Change in RNI / Change in AE**

25 – B:

$$AE = \underbrace{40}_{\downarrow C} + \underbrace{0.5Y}_{\downarrow I} + \underbrace{80}_{\downarrow X(CR)} + \underbrace{\cancel{100}}_{\downarrow M(TB)} - \underbrace{\cancel{100}}_{\downarrow M(TB)}$$

$$\boxed{AE = Y}$$

$$* Y = 40 + 0.5Y + 80$$

$$* 1Y = 120 + 0.5Y$$

$$* 1Y - 0.5Y = 120$$

$$* 0.5Y = 120 ;$$

$$* Y = 120 / 0.5$$

$$\boxed{* Y = 240}$$

This explains why key B is correct.

26 – A:

Quantitative easing is a monetary policy tool used by central banks to inject liquidity into the economy.

➔ This occurs when the central bank **purchases (or buys back) long-term government bonds, which represent long-term debt, from the public.** This increases the money supply, reduces long-term interest rates, and encourages lending and spending, which subsequently boosts the level of Aggregate demand of an economy.

Option B, purchasing short-term government debt has a smaller impact on long-term interest rates and the economy, which is why, this becomes incorrect.

In contrast, selling long-term government debt (option C) would reduce money supply of the economy.

27- B:

Injections: Investment, government spending, export revenue

Leakages: Savings, taxes, imports

A , C , D: **Increased government spending on anti-smoking campaigns and wages paid to government employees represent government expenditure which is an injection into the circular flow.**

Additionally, government spending on transfer payments is not an injection, since it will not be counted in national income statistics.

B : Increase in spending on imported cars represents import expenditure which is a leakage from the circular flow, which is why, this becomes correct.

28- A:

Both **Keynesian and Monetarist schools of thought** agree that:

- High inflation can lead to decreased purchasing power, uncertainty, and reduced investment.
- High unemployment means wasted resources, reduced output, and social costs.

While they disagree on the causes and solutions for these issues, both schools acknowledge that high inflation and high unemployment are undesirable outcomes.

The other options are not accepted by both schools:

B) Keynesians believe government spending stimulates private investment (**crowding in effect**), while Monetarists argue that it crowds out private investment. (**crowding out effect**)

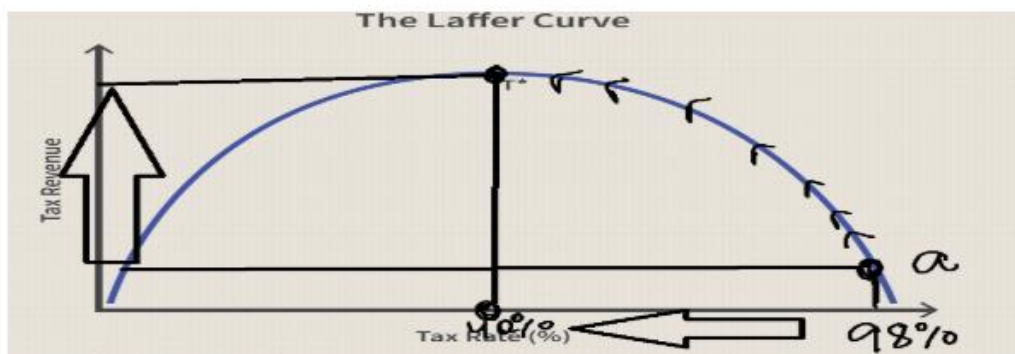
C) Keynesians advocate for increased government spending to stimulate the economy, but Monetarists prefer monetary policy (interest rates, money supply) to address recessions.

D) Monetarists emphasize controlling the money supply to reduce inflation.

29 – B:

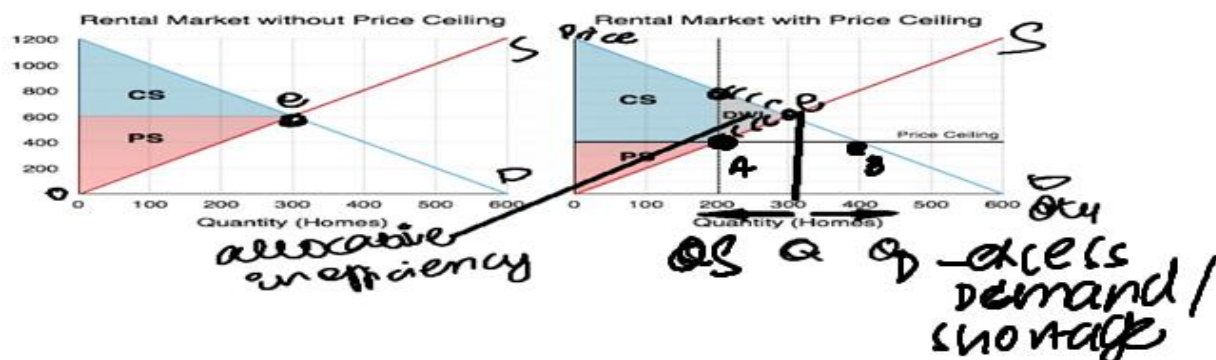
The Laffer curve is a theoretical curve that illustrates the relationship between tax rates and tax revenue. It suggests that there is an optimal tax rate that maximizes tax revenue, and that a tax rate above or below this optimal rate will result in a decrease in tax revenue.

This concept suggests that taxpayers will change their behavior in response to changes in tax rates. A very high tax rate of 98% may discourage taxpayers from working or investing, resulting in a smaller tax base and lower tax revenue. A lower tax rate of 40% may encourage taxpayers to work and invest more, increasing the tax base and ultimately leading to higher tax revenue. The tax base will rise because tax evasion will be avoided now. The Laffer curve suggests that, at a very high tax rate, taxpayers may be more likely to engage in tax evasion. This is because the high tax rate creates a strong incentive to avoid paying taxes, since the taxpayer would only keep a small portion of their income after taxes. By reducing the tax rate, the incentive to evade taxes is also reduced, since the taxpayer would keep a larger portion of their income. This is why, option B, is correct.



30 – D:

A – **Allocative efficiency** occurs when **demand (MSB) is equal to supply (MSC)**; there is no shortage nor surplus, or in other words, resources perfectly follow consumer demand. Maximum price legislation creates shortage which represents a dis-equilibrium in the market. This explains that there will be **allocative inefficiency**.



B – Since because of maximum price legislation, prices are decreased to a level below the equilibrium, there will be a contraction in quantity supplied.

C - Since because of maximum price legislation, prices are decreased to a level below the equilibrium, there will be an extension in quantity demanded.

D – Since because of a maximum price legislation price increases are limited, the expectations of inflations are reduced. This explains why option D is correct.